EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Peñablanca (Municipality) is one of the 29 towns of Cagayan. It is approximately 9 kilometers in road distance from Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipality's programs are centered on the provision of basic services, through the enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality for the year 2024 and was aimed at determining whether Management presented fairly their financial statements in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	836,497,286.53	727,421,112.79	109,076,173.74
Liabilities	34,055,603.28	11,869,833.98	22,185,769.30

Particulars	2024	2023	Increase/ (Decrease)
Government Equity	802,441,683.24	715,551,278.81	86,890,404.43
Financial Performance			
Income	483,674,062.93	449,222,267.96	34,451,794.97
Expenses	422,962,455.46	434,540,610.42	(11,578,154.96)
Net Income	60,711,607.47	14,681,657.54	46,029,949.93

D. Operational Highlights

The Municipality has substantially implemented 21 out of the 32 or 65.63 percent of the planned programs, projects and activities (PPAs) funded out of the 20% Development Fund, Trust Fund and other sources for CY 2024.

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E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality for the year-ended December 31, 2024 due to the misstatements aggregating to ₱404,124,901.74 on account of errors, omissions and improper accounting treatment of transactions that are considered departures from the principles of the IPSAS.

Our audit of the financial statements of the Municipality disclosed misstatements totaling to ₱404,124,901.74, in absolute value, which is material to modify auditor's opinion based on the overall planning materiality of ₱8,690,812.21, summarized as follows:

Account	Assets	Liabilities	Total
Property, Plant, and Equipment	P 355,067,354.77		P 355,067,354.77
Due to NGAs		23,493,787.33	23,493,787.33
Due to GOCCs		615,262.76	615,262.76
Due to LGUs		659,644.46	659,644.46
Other Receivables	2,988,940.65		2,988,940.65
CIP - Infrastructure Assets	21,299,911.77		21,299,911.77
Total:	**P 379,356,207.19**	**P 24,768,694.55**	**P 404,124,901.74**

As a result, the following accounts in the financial statements of the Municipality were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Property, Plant, and Equipment		P 355,067,354.77	1
Due to NGAs		23,493,787.33	2
Due to GOCCs		615,262.76	

Account	Understatement	Overstatement	Observation No.
Due to LGUs		659,644.46	
Other Receivables		2,988,940.65	5
Advances to Contractors	2,988,940.65		
CIP - Infrastructure Assets		21,299,911.77	6
Total:	**P 2,988,940.65**	**P 404,124,901.74**	

F. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the Municipality, are as follows:

1. **Out of the 31 PPAs funded from the 20% DF, Trust Fund, and other sources for CY 2024, three (3) were still on-going and three (3) were not implemented as of December 31, 2024, which is not in compliance with applicable provisions of the DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 1 dated November 4, 2020; thereby resulting in delayed or non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.**

   We recommended that the Management identify and promptly address the causes of delay, ensuring that development projects are thoroughly planned and procurement and implementation-ready, in order to maximize project utilization and ultimately contribute to achieve the socio-economic developments and environmental outcomes of the Municipality.

2. **The Municipality optimally utilized ₱23.449 million or 99.81% of its LDRRMF for CY 2024, reflecting efficient planning, prioritization, and execution that effectively supported disaster risk reduction and management activities; thereby enhancing the Municipality's overall preparedness, mitigation, and response capacities.**

   However, despite this high utilization rate, the unexpended balance of P43,582.60 from the Mitigation Fund – MOOE for CY 2024 was not transferred to the Special Trust Fund under the account Trust Liability – DRRMF in the Trust Fund Books, which is not in compliance with paragraph 3 of Section 21 of RA No. 10121 and Item 5.1.10 of COA Circular No. 2012-002 dated September 12, 2012, thereby posing the risk of misapplication of funds and affecting the fair presentation of accounts in the financial statements.

   We commended the Management for the optimal utilization of LDRRMF, which enabled the Municipality to fully support its disaster risk reduction and management activities.

We nevertheless recommended that Management instruct the Municipal Accountant to transfer the unexpended balance of the Mitigation Fund – MOOE amounting to ₱43,582.60 to the Special Trust Fund under the account "Trust Liabilities-DRRMF" in the Trust Fund books, pursuant to COA Circular No. 2012-002 and Section 21 of RA No. 10121, to avert the risk of misapplication of funds and to ensure the fair presentation of the affected accounts in the financial statements.

G. Summary of Total Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2024:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	3,021,482.67	-	-	3,021,482.67	-
Current Year	-	-	-	-	-
Total	**3,021,482.67**	-	-	**3,021,482.67**	-
Disallowances					
Prior Years	215,138.00	-	-	215,138.00	-
Current Year	-	-	-	-	-
Total	**215,138.00**	-	**-**	**215,138.00**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Implemented		10
Not Implemented	0	
Not Implemented and Reiterated in CY 2024 AAR	7	7
Total		**17**